



INTERIM FINANCIAL STATEMENTS

31 MARCH 2017



Arpico Insurance Plc

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31 March

		Three Months Ended 31 March 2017 Unaudited	Three Months Ended 31 March 2016 Unaudited
	Note	Rs	Rs
Revenue		231,844,046	159,611,333
Gross written premium	3	198,496,732	140,867,753
Premium ceded to reinsurers	3	(7,018,884)	(4,951,636)
Net written premium		191,477,848	135,916,117
Other Revenue			
Fee and Commission Income	3	4,407,746	1,444,918
Income from investments	5	34,838,865	21,470,966
Realise Gain	3	-	-
Other Income	3	1,119,587	779,332
Total Other revenue		40,366,198	23,695,216
Net Income		231,844,046	159,611,333
Net insurance benefits and claims paid		(29,030,956)	(7,530,952)
Net change in insurance claims outstanding		554,779	2,397,006
Underwriting and Net Acquisition Costs		(60,844,120)	(43,496,316)
Change in Contract Liabilities - Life Fund		(88,087,313)	(70,947,314)
Other operating and administrative expenses		(42,283,767)	(30,154,155)
Net benefits and claims		(219,691,376)	(149,731,730)
Profit/(Loss) before tax		12,152,670	9,879,603
Income tax expense		-	-
Profit/(Loss) for the Period		12,152,670	9,879,603

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

	Notes	Three Months Ended 31 March 2017 Unaudited Rs	Three Months Ended 31 March 2016 Unaudited Rs
Profit / (Loss) for the Period		12,152,670	9,879,603
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(497,696)	2,933,769
Fair value movement of AFS reserve transferred to life fund		497,696	(2,933,769)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		12,152,670	9,879,603

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

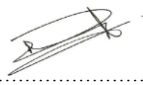
Arpico Insurance Plc

STATEMENT OF FINANCIAL POSITION

As at 31 March 2017

		31-Mar-17 Unaudited Rs.	31-Dec-16 Audited Rs.
	Notes		
Assets			
Property, Plant and Equipment		31,047,197	21,850,521
Financial Assets	7	1,344,615,396	1,245,402,750
Loans to Life Policy Holders		120,148,681	111,675,715
Reinsurance Receivable		8,787,486	7,706,821
Premium Receivable		37,578,866	39,491,469
Other Assets		63,776,652	54,329,540
Cash and Cash Equivalents		79,082,727	106,504,318
Total Assets		1,685,037,006	1,586,961,134
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		91,297,689	79,145,018
Total Shareholders' Equity		766,862,559	754,709,888
Liabilities			
Insurance Provision - Life	8	814,632,865	726,047,856
Employee Benefit Obligation		4,798,026	4,608,990
Reinsurance Creditors		29,748,276	22,729,392
Amounts Due to Related Party	10	1,719,118	6,676,507
Financial Liabilities		49,145,341	54,461,564
Other liabilities		18,130,822	17,726,937
Total Liabilities		918,174,448	832,251,246
Total Liabilities and Shareholders' Equity		1,685,037,006	1,586,961,134

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



 Financial Controller
 (Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (W.J. Viville P. Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 7 to 10 form an integral part of these financial statements.

12th May 2017
 Colombo

Arpico Insurance Plc

STATEMENT OF CASH FLOW

For the three months ended 31 March

	Notes	2017 Rs.	2016 Rs.
Operating activities			
Receipts from Policyholders		200,409,335	170,351,911
Payments to Reinsurers		-	(6,897,256)
Claims Paid		(30,281,118)	(10,082,912)
Reinsurance receipts in respect of claims		-	-
Payments to Suppliers and Employees		(84,405,952)	(54,191,890)
Cash Inflow from Operating Activities		<u>85,722,265</u>	<u>99,179,853</u>
Tax Paid		(2,460,949)	(1,677,024)
Net Cash Flows from Operating Activities		<u>83,261,316</u>	<u>97,502,829</u>
Investing activities			
Purchase of property and equipment		(11,470,261)	(1,656,877)
Net drawdown of Investments		(99,212,646)	(90,997,145)
Net cash flows generated / (used) in investing activities		<u>(110,682,907)</u>	<u>(92,654,022)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Net cash flows used in financing activities		<u>-</u>	<u>-</u>
Net (decrease)/increase in cash and cash equivalents		(27,421,591)	4,848,807
Cash and cash equivalents at 1 January		106,504,318	28,638,157
Cash and cash equivalents at 31 March		<u>79,082,727</u>	<u>33,486,963</u>
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		217,795	206,039
Cash at Bank		78,864,932	33,280,924
		<u>79,082,727</u>	<u>33,486,963</u>
Total Cash and Cash Equivalents		<u>79,082,727</u>	<u>33,486,963</u>

Arpico Insurance Plc

STATEMENT OF CHANGES IN EQUITY

For the Period ended 31 March 2017

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited Balance as at 1 January 2016	675,564,870		(28,312,297)	647,252,573
Issue of share capital				-
Net profit for the period			9,879,603	9,879,603
Unaudited Balance as at 31 March 2016	675,564,870	-	(18,432,694)	657,132,176
Issue of share capital				
Share Issue Expenses				
Net profit for the period			98,009,568	98,009,568
Other Comprehensive Income			(431,856)	(431,856)
Audited Balance as at 31 December 2016	675,564,870	-	79,145,018	754,709,888
Issue of share capital				-
Other Comprehensive Income				
Net profit for the period			12,152,670	12,152,670
Unaudited Balance as at 31 March 2017	675,564,870	-	91,297,688	766,862,558

Arpico Insurance Plc

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the year ended 31st March 2017 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2016 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Three months ended 31 March Unaudited 2017 Rs	Three months ended 31 March Unaudited 2016 Rs	Year Ended 31 December Audited 2016 Rs
3. REVENUE				
	Notes			
Gross Written Premium	4(a)	198,496,732	140,867,753	745,386,354
Premium Ceded to Reinsurers	4(b)	(7,018,884)	(4,951,636)	(24,436,905)
Net Written Premium		191,477,848	135,916,117	720,949,449
Fees and commission income		4,407,746	1,444,918	6,269,983
Investment income		34,838,865	21,470,966	114,148,063
Other operating revenue		1,119,587	779,332	4,773,224
Realise Gain		-	-	(1,089,247)
Total Revenue		231,844,046	159,611,333	845,051,472

		Three months ended 31 March Unaudited 2017 Rs	Three months ended 31 March Unaudited 2016 Rs	Year Ended 31 December Audited 2016 Rs
4. NET WRITTEN PREMIUMS				
4(a) Gross premiums on insurance contracts				
Conventional Policies		198,496,732	140,867,753	745,386,354
Total gross written premiums		198,496,732	140,867,753	745,386,354

		Three months ended 31 March Unaudited 2017 Rs	Three months ended 31 March Unaudited 2016 Rs	Year Ended 31 December Audited 2016 Rs
4 (b). Premiums ceded to reinsurers on insurance contracts				
Conventional Policies		(7,018,884)	(4,951,636)	(24,436,905)
Total premiums ceded to reinsurers		(7,018,884)	(4,951,636)	(24,436,905)
Total net written premiums		191,477,848	135,916,117	720,949,449

		Three months ended 31 March Unaudited 2017 Rs	Three months ended 31 March Unaudited 2016 Rs	Year ended 31 December Audited 2016 Rs
5. INVESTMENT INCOME				
Available-for-sale financial assets- Interest Income		16,546,380	10,657,678	27,337,801
Loans and receivables interest income		18,292,485	10,813,288	86,810,262
Total investment income		34,838,865	21,470,966	114,148,063

Arpico Insurance Plc

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three months ended 31 March Unaudited 2017 Rs	Three months ended 31 March Unaudited 2016 Rs
Profit /(Loss) for the year	12,152,670	9,879,603
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.18	0.15

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial Statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Mar-17 Unaudited Rs	31-Dec-16 Audited Rs
Loans and receivables	758,017,547	770,904,670
Available-for-sale financial assets	586,597,849	474,498,080
Total financial instruments	1,344,615,396	1,245,402,750

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Mar-17 Carrying value Unaudited Rs	31-Mar-17 Fair value Unaudited Rs	31-Dec-16 Carrying value Audited Rs	31-Dec-16 Fair value Audited Rs
Loans and receivables	7 (a). 758,017,547	758,017,547	770,904,670	770,904,670
Available-for-sale financial assets	7 (b). 586,597,848	586,597,848	474,498,080	474,498,080
Total financial instruments	1,344,615,395	1,344,615,395	1,245,402,750	1,245,402,750

7 (a). Loans and receivables

	31-Mar-17 Unaudited Rs	31-Dec-16 Audited Rs
Investment in Corporate Debt	422,239,305	443,356,097
Investment in Fixed Deposit	221,532,508	216,592,508
Investment in Repos	154,245,734	150,956,065
	798,017,547	810,904,670
Provision for Impairment	(40,000,000)	(40,000,000)
	758,017,547	770,904,670

7 (b). Available for sale financial assets

	31-Mar-17 Unaudited Rs	31-Dec-16 Audited Rs
Tresury Bill	256,580,434	121,370,271
Tresury Bonds	330,017,413	353,127,809
	586,597,848	474,498,080

Arpico Insurance Plc

Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES		31-Mar-17 Unaudited Rs	31-Dec-16 Audited Rs
Balance as at beginning		726,047,856	436,177,616
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	8 (a)	88,087,313	350,207,532
Surplus transferred from share holders		-	(60,000,000)
Increase in Life insurance fund		88,087,313	290,207,532
Movement in AFS reserve transferred to life fund		497,696	(337,292)
Balance as at End		814,632,865	726,047,856

8 (a) Increase in Life insurance fund before surplus transfer

2017 March (Unaudited)			
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	198,496,732	(7,018,884)	191,477,848
Liabilities paid for death, benefits and claims	(29,556,841)	1,080,665	(28,476,176)
Underwriting and Net Acquisition Costs	(60,844,120)		(60,844,120)
Fees (deducted)/received	5,527,333		5,527,333
Investment return	22,686,195		22,686,195
Realise Gain	-		-
Other operating and administrative expenses	(42,283,767)		(42,283,767)
As at 31st March 2016	94,025,531	(5,938,219)	88,087,313

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2016 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 December, 2016 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance Plc

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-17 Unaudited Rs	31-Dec-16 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	1,033,883	6,075,173
Richard Pieris Distributors Limited	Fellow Subsidiary	573,408	167,073
Arpitech (Pvt) Ltd	Fellow Subsidiary	111,827	421,582
Arpico Interiors	Fellow Subsidiary	-	12,679
		<u>1,719,118</u>	<u>6,676,507</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st March 2017, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Share Ledger Management System

Shareholder Information

Twenty Largest Shareholders

Name of the Shareholder	3/31/2017 Shareholding	3/31/2017 % on Issued Shares
1 Kegalle Plantaion	26,685,001	40.29
2 Richard pieris Distributers Limited	17,790,001	26.86
3 Richard pieris and company PLC	15,125,001	22.84
4 Mr.J.P.Paul	1,155,901	1.75
5 Mr.S.Senthinandhanan	797,281	1.20
6 Mr.S.Senthi Maaran	619,894	0.94
7 MR.P.B.PERERA	535,900	0.81
8 Mr.H.V.Senaweera	385,870	0.58
9 Mr.A.P.Arumugampillai	305,000	0.46
10 Mr S Sivashanth	200,000	0.3
11 Mr.B.A.R.Dissanayake	200,000	0.3
12 Pan Asia Banking Corporation PLC	154,999	0.23
13 Mrs.S.E.V.E.A.U.Von Stumm	150,000	0.23
14 Dr. A S Wijenayake	145,284	0.22
15 Mr.F.N.Herft	143,811	0.22
16 Flybrunei Sdn Bhd	99,700	0.15
17 Mr. M L A Benadict	92,952	0.14
18 Mr. R L Wijenayake	90,000	0.14
19 Mr. T A N Gomis	82,219	0.12
20 Assetline Leasing Company	79,459	0.12
	<u>64,838,273</u>	<u>97.9</u>

Public Shareholding

	As at 31st March 2017	
	No. of Shares	% on Issued Shares
Number of Shares	<u>6,630,400</u>	<u>10.10</u>

	As at 31st March 2017	
	No. of Shares	% on Issued Shares
Number of Shareholders	<u>532</u>	<u>98.70</u>

Directors' Shareholdings

There is no share holding by the directors as at 31st March 2017

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 31st March 2017	11.58
Highest Price Per Share for the Interim Period	13.9
Lowest Price Per Share for the Interim Period	11.3
Last traded Price Per Share as at As at 31st March 2017	12.4